

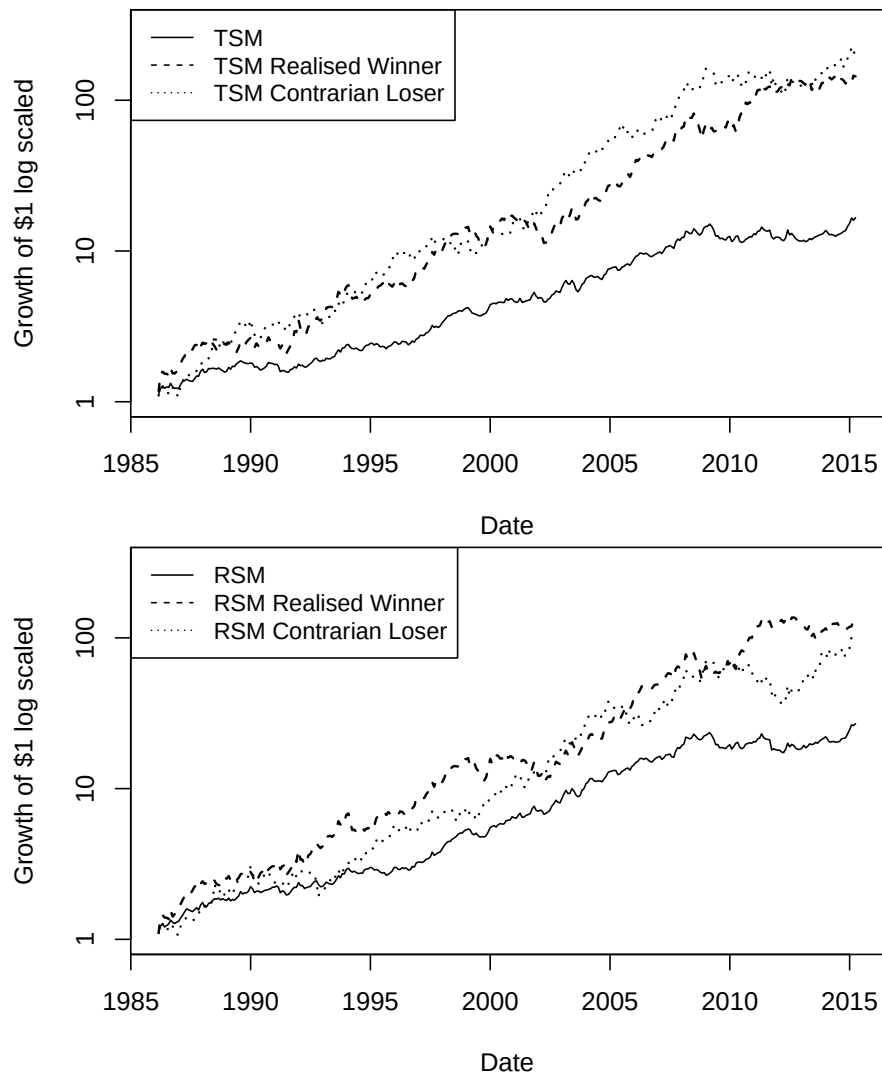


Figure 6: Cumulative returns of different (12, 12) trend-following reversal strategies.

Plotted are the cumulative returns of trend-following reversal realised winner and contrarian loser strategies compared to their corresponding trend-following strategies (TSM and RSM) using (12, 12) scheme. The cumulative returns are calculated as shown in Section G of the Online Appendix. The strategies are performed using an asset pool with 55 futures from January, 1985 to March, 2015. Logarithmic scaling is applied to the y-axes, i.e. growth of \$1. As shown in both panels, the realised winner and contrarian loser substantially outperform their baseline strategies.